WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ISRAEL

Middle East

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Tel Aviv and Gush Dan	Commercial and financial heart of the economy and home to most of Israel's start-ups, venture funds and multinational R&D centres	Software, cybersecurity, fintech, AI, financial services
Jerusalem	Seat of the Knesset and government ministries; key for regulatory and government relations, with a growing university-linked technology scene	Government relations, life sciences, technology, tourism
Haifa and the north	Major Mediterranean port and industrial region, anchored by the Technion; peripheral northern areas can qualify for Development Area A tax rates	Port logistics, advanced manufacturing, chemicals, deep tech
Be'er Sheva and the Negev	Southern growth region combining a university-linked cybersecurity cluster with land availability and peripheral-area incentives	Cybersecurity, solar energy, logistics, defence technology
Rehovot and Ness Ziona	Science corridor around the Weizmann Institute, with strong links between academic research and commercial spin-outs	Life sciences, biotech, agri-food technology
Offshore Eastern Mediterranean (Leviathan, Tamar)	Gas fields supplying domestic power and regional exports, including the $35 billion Leviathan supply deal with Egypt approved in December 2025	Natural gas, energy infrastructure, petrochemicals
Development Area A (national periphery)	Designated peripheral areas where preferred enterprises pay corporate tax of 7.5% rather than the standard 23%	Manufacturing, technology production, logistics

INVESTOR ENTRY ROUTES

- Invest in Israel, the national investment promotion agency within the Ministry of Economy and Industry, acting as a one-stop shop with sector project managers, regulatory navigation and after-care support
- Law for the Encouragement of Capital Investments, offering reduced corporate tax of 16% for Preferred Enterprises and 12% for Preferred Technological Enterprises, falling to 7.5% in Development Area A, against a standard rate of 23%
- Israel Innovation Authority programmes, including R&D funding and technology incubators for early-stage companies operating in Israel

- Acquisition of, or minority investment in, Israeli technology companies, the route used by the record Wiz ($32 billion) and CyberArk ($25 billion) transactions
- Establishment of a multinational R&D centre, a well-trodden model with more than 400 such centres in Israel, nearly two-thirds of them US-owned
- Bank of Israel oversight of a freely traded shekel, with the central bank intervening only on a targeted basis to maintain orderly market functioning
- Energy-sector participation alongside the Leviathan partners (Chevron, NewMed Energy and Ratio Energies) as the field's planned expansion and Egypt export contract progress

MARKET-ENTRY OBSERVATION

Israel in October 2026 is rebounding strongly from a conflict-related dip at the start of the year. GDP grew 3.1% in 2025 (first estimate), and after a 1.5% annualised contraction in Q1 2026 during the war with Iran, output surged 15.4% annualised in Q2, led by exports, consumption and public spending; the Bank of Israel forecasts growth of 4.0% in 2026 and 5.5% in 2027. Inflation is subdued at 1.6% in September, within the 1–3% target range, allowing three consecutive rate cuts to 3.25% by September, held in October. Foreign direct investment reached a record $26.2 billion in 2025, 78% above 2024, and $14.1 billion in Q1 2026 alone, underpinned by a high-tech sector that generated about $85 billion of exports (58% of the total) and 18.3% of GDP in 2025. Foreign exchange reserves of $237 billion (34.2% of GDP) at end-September 2026 provide a substantial buffer.

Israel's main structural challenge is the regional security environment and its fiscal cost. Ceasefires with Hamas, Hezbollah and Iran have held through mid-2026, though implementation of the wider Gaza plan has been slow and the Bank of Israel continues to flag geopolitical uncertainty. Defence spending of around 6–7% of GDP has lifted government debt to 68.5% of GDP in 2025, with deficits expected to narrow from 2027. The economy has repeatedly shown its capacity to recover: the sovereign risk premium had returned to pre-October 2023 levels by July 2026, Moody's (Baa1) and S&P (A) affirmed stable outlooks, and capital continued to flow into technology at record levels. For investors, the combination of a deep innovation ecosystem, strong external buffers and a recovering growth trajectory offers attractive entry points, provided security and compliance considerations are built into planning.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Regional security and durability of ceasefires	The 2026 war with Iran caused a Q1 contraction, and ceasefire arrangements with Hamas, Hezbollah and Iran remain subject to uncertainty	Business-continuity planning, remote-working capability and political-risk insurance are well established; the swift Q2 rebound shows how quickly activity recovers
EU differentiation rules and settlement-related measures	Goods from Israeli settlements in territories under Israeli administration since June 1967 do not receive EU preferential tariffs, must state their true origin, and face national import bans in Ireland and restrictions in Spain; the EU also sanctioned violent settlers in May 2026	Obtain legal and compliance advice, map supply chains by postal code of production, and focus on activities within Israel's pre-1967 lines, which benefit fully from the EU Association Agreement
Fiscal pressure from defence spending	Defence costs of around 6–7% of GDP have raised debt to 68.5% of GDP and the central government deficit to 4.7% in 2025	Debt remains investment grade with stable outlooks, and deep domestic capital markets and record reserves support financing
Shekel strength and volatility	The shekel has been strong but moved from about 2.80 to 3.00 per dollar during regional tensions in mid-2026, prompting targeted Bank of Israel dollar purchases	Apply standard hedging for shekel-denominated costs; easing interest rates are improving local financing conditions
Political calendar and institutional debate	The 27 October 2026 election gave no bloc a majority (Likud largest with 27 seats), and rating agencies have identified institutional and judicial developments as a factor in Israel's credit outlook	Engage across the political spectrum and with permanent institutions such as the Bank of Israel and Invest in Israel, which provide continuity

Issue	Potential Impact	Possible Mitigation
Tech talent supply and costs	High-tech employment grew to about 400,000 in 2025, but R&D headcount fell for the first time in a decade and reservist duty can affect staffing	Develop flexible staffing models and use Development Area A and Innovation Authority support to access wider talent pools
Domestic competition and cost of living	Trade barriers and concentrated market structures have contributed to high living costs and limited competition in some sectors	Standards reforms accepting European-certified products, with plans to extend this to US-certified goods, are opening space for new entrants

INVESTOR RISK NOTE

Israel's risk profile combines exceptional innovation strength and robust external buffers with a regional security environment that requires active management. The economy contracted during the early-2026 conflict with Iran and then rebounded sharply, inflation is within target, and record reserves of around $237 billion and investment-grade ratings with stable outlooks from Moody's and S&P underline its resilience. Ceasefires with Hamas, Hezbollah and Iran remain the key variable, and coalition talks after the inconclusive 27 October 2026 election will shape fiscal and institutional policy. Investors should also note clear legal parameters: under EU law, Israeli settlements in territories under Israeli administration since June 1967 are not part of Israel for trade purposes, so settlement goods are excluded from EU tariff preferences and must be labelled with their true origin; the EU has sanctioned violent settlers; Ireland and Spain have adopted national restrictions on settlement goods; and the EU is considering further trade options. Investors should take specialist legal and sanctions advice, conduct supply-chain and location due diligence, and focus on activities within Israel's pre-1967 lines, which provide full access to Israel's trade agreements and its world-class technology economy.

MARKET ACCESS

Israel is a WTO member and OECD member with a long-established free trade network, anchored by the US–Israel Free Trade Agreement (1985) and the EU–Israel Association Agreement (in force since 2000). The EU is Israel's largest trading partner, accounting for 31.7% of its goods trade and 29.4% of its exports in 2025, and Israel's participation in the EU Open Skies agreement and a pharmaceuticals conformity agreement (ACAA) eases access further. The United States is Israel's closest economic partner, with two-way goods and services trade exceeding $50 billion in 2024 and US firms owning nearly two-thirds of multinational R&D centres in Israel. Exports are dominated by high-tech goods and services, while offshore gas links Israel to Egypt under a $35 billion supply contract running to 2040. Deeper regional economic ties offer longer-term upside as regional stability consolidates.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office	Sets national economic, security and foreign policy; coalition talks are under way after the 27 October 2026 election, in which no bloc won a majority	Primary reference point for strategic direction and major cross-ministerial projects
Invest in Israel (Ministry of Economy and Industry)	National investment promotion agency acting as a one-stop shop, with sector project managers and after-care services	Standard first point of contact for market entry, incentives and regulatory navigation
Bank of Israel	Independent central bank; sets the policy rate (3.25%), manages $237 billion of reserves and supervises banks	Relevant for monetary outlook, currency and banking-sector matters
Ministry of Finance (Accountant General, Chief Economist, Israel Tax Authority)	Manages the budget, sovereign debt issuance and the tax incentive regime, and tracks foreign investment flows	Key counterpart for tax rulings, Capital Investments Law benefits and public-private partnerships
Israel Innovation Authority	Government body funding R&D and incubators and publishing authoritative data on the high-tech sector	Essential partner for technology investors seeking co-funding, partnerships and market intelligence

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Energy and Infrastructure	Leads natural gas and power-sector policy; the government approved the Leviathan–Egypt export deal in December 2025	Key counterpart for energy, gas and power-sector investment
Ministry of Foreign Affairs	Manages relations with the EU, the US and regional partners, including EU trade dialogue	Relevant for understanding regional positioning and EU-related compliance developments

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Israel-America Chamber of Commerce (AmCham Israel), the Israel-British Chamber of Commerce and the German-Israeli Chamber of Commerce are leading bilateral business bodies, alongside the Federation of Israeli Chambers of Commerce and the Manufacturers' Association of Israel for domestic liaison. Invest in Israel organises delegations, conferences and meetings with officials, while the Israel Innovation Authority is a hub for technology partnerships and sector data. With more than 400 multinational R&D centres and an active venture-capital community that raised nearly $15 billion in 2025, established foreign investors and local funds are a valuable source of deal flow and practical market intelligence.

INVESTOR PROFILE BEST SUITED

Israel best suits investors seeking access to world-class innovation: strategic acquirers and corporate venture arms in cybersecurity, AI, software, semiconductors and life sciences; multinationals establishing R&D centres; and venture and growth funds participating in a market that produced around $84 billion of exits in 2025. Energy and infrastructure investors can benefit from offshore gas expansion and regional export contracts, while manufacturers can use reduced tax rates in Development Area A. All investors should build security contingency planning into operations and apply careful compliance screening, particularly regarding EU differentiation rules for settlement-linked activity.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest in Israel and assess incentive eligibility
Open dialogue with the national investment promotion agency and the Israel Tax Authority on Preferred Enterprise or Preferred Technological Enterprise status and Development Area A benefits.

STEP 2: Map the technology ecosystem in your sector
Use Israel Innovation Authority data, incubator programmes and established R&D centres to identify partners, acquisition targets and co-funding opportunities.

STEP 3: Commission legal and compliance due diligence
Take specialist advice on EU differentiation rules, national settlement-goods measures, sanctions designations and supply-chain origin before committing to any location or partner.

STEP 4: Build security and continuity planning into operations
Model short disruption scenarios, informed by the rapid 2026 rebound, and arrange business-continuity measures and political-risk insurance where appropriate.

STEP 5: Track the post-election policy agenda
Follow coalition talks after the inconclusive 27 October 2026 election, the 2027 budget and fiscal consolidation, which will shape tax, defence spending and ratings outlooks.